

PHASES OF ECONOMIC EXPLOITATION OF COLONIAL INDIA

The economic narrative of colonial India is shaped by **British policies** that significantly impacted its development. This overview highlights the three distinct phases of **economic exploitation** identified by **Marxist historians**, particularly **Rajani Palme Dutt**. [UPSC 2015]

- **First Stage: Merchant Capital (1757-1813)**
Objectives: Monopoly over trade, control of revenues, and elimination of rivals.
Methods: Buying low and selling high, political dominance in key regions.
Impact: Minimal societal changes, with traditional structures intact; 2-3% of Britain's national income funded its industrial revolution.
- **Second Stage: Colonialism of Free Trade (1813-1860s)**
Key Features: British markets for goods, Indian raw materials, and capital investments in plantations and industries.
Reforms: Permanent Settlement, Ryotwari system, and administrative expansions.
Education & Taxation: Modern education for a cheap workforce, increased taxation burden on peasants.
- **Third Stage: Finance Capital (1860s-1947)**
Objectives: Consolidation of control to prevent rivals, investment under the guise of "trusteeship".
Ideological Shift: Abandonment of self-governance for Indians, justifying British rule through geography, race, and culture (the "White Man's burden").

ECONOMIC IMPACT OF BRITISH COLONIAL POLICIES IN INDIA

- **Deindustrialization:** Decline of textile industries, India shifted from exporter to importer. **High tariffs** (up to 80%) post **Charter Act of 1813** restricted exports, leading to the collapse of local crafts. [UPSC 2012]
- **Drain of Wealth:** 2-3% of Britain's national income financed the industrial revolution in Britain, exploiting Indian resources.
- **Industrial Stagnation:** British policies restricted local shipbuilding and steel industries. **Late industrialization** saw foreign-owned industries dominate.

- **Impoverishment of Peasantry: Permanent Settlement (1793)** imposed high rents, leading to **debt cycles** with **moneylenders**. **Zamindars** exploited peasants.
- **Commercial Agriculture:** Shift to cash crops like **cotton** and **jute** in the late 19th century caused **agrarian distress**, high debt, and fluctuating market prices. [UPSC 2018]
- **Land Ownership Shift:** Emergence of **absentee landlords** and **intermediaries** due to the decline of traditional zamindars.
- **Disintegration of Village Economy:** Traditional governance undermined; **Patel** became a revenue collector, while **private property** transformed land into a commodity.
- **New Social Classes:** Rise of **landlords**, **moneylenders**, **traders**. The **rural proletariat** (poor peasants, **sub-tenants**, and **labourers**) emerged as a new class.
- **Global Market Link:** India integrated into global markets, supplying **raw materials** like **cotton** and **jute** to British industries.
- **Capitalist Foundations:** British policies facilitated **capitalist development**, **commercialization of agriculture**, and improvements in **transportation** for foreign interests.
- **Stunted Industrial Growth:** Delay in industrialization, with **foreign control** and lack of local enterprise.
- **Poverty and Unrest:** The economic exploitation led to widespread **poverty** and **unrest**, contributing to India's **independence** movement.

CONCEPT OF ECONOMIC DRAIN

- **Wealth Outflow:** *Drain* signifies the continuous outflow of wealth from India to England without sufficient economic returns, viewed as an indirect tribute imposed by British imperialism.
- **Mercantilist Principles:** The drain aligns with **mercantilist** theories, where an unfavourable trade balance causes gold and silver to leave India. Prior to the **Battle of Plassey (1757)**, the East India Company imported bullion to balance trade deficits.
- **Post-Plassey Shift:** After the **Battle of Plassey**, wealth drained as the Company established monopolistic control through:
 - Profits from Land Revenue Policies
 - Monopolistic Trade Practices
 - Exactions by Company Officials

- **Investment Model:** Surplus was labelled as *investment*, purchasing exportable goods without returns for the local economy.
- **Charter Act of 1813:** This act separated the Company's territorial and commercial revenues, leading to *unrequited* exports. It ended the trade monopoly of the East India Company in India except for trade in tea and trade with China. It asserted the sovereignty of the British Crown over the Indian territories held by the Company. [UPSC 2019]
- **Trade Balance:** Until **World War II**, India maintained a favourable trade balance, but political reasons drained a portion of the national product, limiting local consumption and capital formation.

Constituents of Economic Drain in Colonial India

Constituent	Definition	Data
Home Charges	Home charges refer to the expenses incurred in England by the Secretary of State on behalf of India, primarily serving British interests. Funds used to pay salaries and pensions of British personnel engaged in India. [UPSC 2011]	Pre-Revolt (before 1857): 10% to 13% of India's average revenues. Post-Revolt (1897-1901): Increased to 24%, reaching £17.36 million in 1901-02 and 40% by 1921-22. Components Dividends: £630,000 annually to shareholders until 1874. Public Debt Interest: Debt rose from £70 million to £224 million in 1990 benefiting British interests. Civil & Military Costs: Significant burden on India. Supplies from England: 10% to 12% of home charges (1861-1920).
Interest on Foreign Capital Investments	Interest and profits from private foreign capital represented another significant outflow from India's national income. Civil and Military Costs: It included pensions and forloughs of British officers, payment to British war office etc	Annual payments during the inter-war period ranged from Rs. 30 crores to 60 crores per annum, hindering indigenous industrial development.
Foreign Banking, Insurance, and Shipping Companies	Significant outflows for services rendered by foreign firms.	Drained resources and stunted growth of local enterprises, exacerbating the economic drain.

Economic Critique of the Drain of Wealth

Pioneering Analysts as economic critique were: **Dadabhai Naoroji (Poverty and UnBritish Rule in India),**

Justice Mahadev Govind Ranade, Romesh Chandra Dutt (Economic History of India), Gopal Krishna Gokhale, G. Subramania Iyer, and Prithwishchandra Ray.

[UPSC 2015]

Economic Drain of Wealth Theory

The Drain of Wealth from India to England is a critical critique of British colonial policy, emphasised by **Dadabhai Naoroji** and **R.C. Dutt**, highlighting its detrimental effects on India's economy and social structure.

- **Critique of Trade and Railways**
 - Foreign trade patterns favoured the import of finished goods and export of raw materials.
 - Railway development was not coordinated with India's industrial needs, leading to a commercial rather than an industrial revolution.
 - Railways enabled foreign goods to outsell indigenous products, benefitting British interests.

- **G.V Joshi** remarked, "Expenditure on railways should be seen as an Indian subsidy to British Industries".

- **Critique of One-Way Free Trade and Tariff Policy**

- Impact of One-Way Free Trade led to the Ruination of Indian handicrafts due to unequal and unfair competition. Guided Tariff Policy was influenced by British capitalist interests.
- Finance and Taxation burden the poor, spare British capitalists and bureaucrats.
- Reduction of land revenue, abolition of salt tax, imposition of income tax, and excise duties was on consumer goods consumed by the rich middle classes.

Important Keywords Related to Colonial Economic Policy

- **Aurang:** A Persian term for a warehouse where goods were collected before sale.
- **Bania:** Derived from the Sanskrit word *vanij*, meaning 'merchant'; Banias acted as intermediaries for European merchants in Bengal.

- **Mirasdar:** An Urdu term for hereditary landowners recognized as sole proprietors under the **Ryotwari** settlement, stripped of tenant rights and unable to sell their land. [UPSC 2020]

LAND REVENUE POLICIES

The **British imperial rulers** significantly transformed India's agrarian structure, introducing new **land tenures** and increasing state demands for **land revenue**. These changes initiated a distorted era of modernization, impacting the rural economy and social relationships.

Pre-British Agrarian Structure

- **Village Communities:** Self-governing units, no absolute land ownership.
- **Rights of Cultivators:** Tenure secured by sharing produce with overlords.
- **Role of Patil:** Managed revenue, land allocation, and irrigation with **Panchayat**.

British Economic Motives

- **Maximising Gains:** Focused on **land revenue**, treating India as an estate.
- **Revenue Sources:** Relied on land revenue, neglecting **village systems**.
- **Consequences:** **Agricultural decline**, **abandoned lands**, **famines**, and policy re-evaluation.

Types of Land Tenures

The British established three main land tenure systems:

1. **Zamindari Tenure:** Covered about **19%** of British India.
2. **Mahalwari Tenure:** Extended to nearly **30%**.
3. **Ryotwari Tenure:** Comprising approximately **51%** of the area.

The Zamindari System

After acquiring **Diwani Rights** in 1765, the British recognized the importance of agriculture, previously dominant in rural India. They introduced new land tenures and revenue systems, leading to economic difficulties, a decline in productivity, and exploitation.

Warren Hastings' Revenue System (1769-70)

- **Izaredar/Ijaradari is System:** Introduced a **farming system** where contractors bid to collect land revenue for five years, later reduced to one year (1777).
- **Key Issues:**
 - **Exploitation:** Contractors focused on profit, disregarding peasants' welfare.
 - **Unrealistic Bids:** Exceeded the land's productive capacity, causing financial distress.
 - **Corruption:** Traditional zamindars were discouraged from bidding, leading to removal and rampant corruption.

These flaws prompted reforms under **Lord Cornwallis**, who eventually replaced it with the **Permanent Settlement**.

The Permanent Settlement (1793)

- Proposed by **Philip Francis** in 1776, this system was introduced by **Lord Cornwallis** in Bengal, Bihar, Orissa, and parts of Madras. [UPSC 2011]
- Covered **19%** of British India.
- **Zamindars** were given **proprietary rights** over land in exchange for a fixed annual revenue to be paid to the government.

Key Features

- **Fixed Revenue:** Land revenue was fixed permanently.
- **Zamindari Rights:** Zamindars could sell, mortgage, or transfer land and retained **one-tenth to one-eleventh** of revenue collected.
- **Sunset Clause (1794):** If zamindars failed to pay taxes, their estates could be auctioned and can be removed from zamindari. [UPSC 2024]

Shortcomings

- **High Revenue:** Set at a high rate (89% in Bengal), causing financial stress on zamindars.
- **Sub-infeudation:** Led to the division of estates, absentee-landlordism, and exploitation of peasants.
- **Peasant Exploitation:** Tenants faced high rents, loss of occupancy rights, and harassment by zamindars.
- **Neglect of Agriculture:** Zamindars focused on revenue collection, not improving agriculture.

Impact on Zamindars and Peasants

- **Zamindars:** Gained ownership rights but faced financial pressures due to the fixed revenue demand.
- **Peasants:** Lost traditional rights and suffered from high rents and evictions.

Later Modifications

- **Bengal Rent Acts (1859, 1885):** Granted some occupancy rights to tenants but did not fully address the imbalance between zamindars and peasants.
- Scholars like **Daniel Thorner** criticised the system, arguing that **absolute ownership** was a myth, and the high revenue demands resulted in frequent auctions of zamindari estates.

The Mahalwari System (1819-1822)

- **Introduction:** Recommended by **Holt Mackenzie** in 1819 and formalised under **Regulation VII of 1822**, the **Mahalwari System** aimed to establish land revenue settlement in **Northern India**.
- **Challenges:** It faced issues like **complex surveys**, **high revenue demands**, and **harsh extraction methods**, worsened by the **Agricultural Depression of 1828**.

Key Features

- **Primary Unit:** Revenue assessment was based on the **mahal** (village or group of villages), with land collectively owned by the **village community**.

- **Collection Responsibility:** The **village headman** was responsible for revenue collection and payment.
- **State Revenue Share:** Initially set at **66%** of rental value, it was later reduced to **50%**.
- **Rent System:** Introduced **average rents** for different soil types, with periodic assessments.

Shortcomings

- **Record-Keeping Issues:** The need to **record all rights** proved impractical.
- **Inaccurate Calculations:** Official assessments were often **manipulated**, leading to high taxes and village community breakdown.
- **Cultivator Dispossession:** Many cultivators faced **dispossession**, resulting in poverty and unrest during the **Revolt of 1857**.
- **Economic Perspective:** The system was primarily designed for the **British**, leading to economic hardships and unequal land ownership.

- **Regulation of 1822:** **Regulation VII of 1822** set land revenue at **80%** for zamindars and **95%** for common tenancy, ultimately failing due to high demands.
- **Merttins Bird:**
 - **Regulatory Reforms:** **Regulation IX of 1833** simplified procedures and established average rents based on soil classes.
 - **Implementation Leadership:** Merttins Bird fixed state demands at **66%** for a **30-year settlement**, concluding under **James Thomson** (Lt. Governor, 1843-53).
- **Issues and Saharanpur Rules of 1855**
 - **Harsh Rental Demand:** The **66%** rental demand caused widespread dissatisfaction.
 - **Revised Rules:** Lord Dalhousie's **Saharanpur Rules of 1855** limited state demand to **50%**, but officers often evaded these regulations.
 - **Impact on Agriculture:** These practices negatively affected agricultural classes, contributing to discontent during the **Revolt of 1857-58**.

The Ryotwari System: Overview and Implementation

- The **Ryotwari System** was introduced in **1792** by **Thomas Munro** and **Captain Alexander Read** in the **Baramahal** region of the **Madras Presidency**.
[UPSC 2017]
- Officially formalised in **1820**, the system aimed to maximise revenue collection directly from farmers (ryots) without intermediaries. It imposed a tax of **one-third of the gross produce**, influenced by **utilitarian ideas** and **David Ricardo's** theory of rent.

- **Key Features:** The rent was paid directly by the peasants to the Government. The government gave **Pattas** to the Ryots. The lands were surveyed and assessed before being taxed.
[UPSC 2012]

- **Ownership Rights:** Ryots held ownership and occupancy rights over land, with no limits on ownership and the ability to sublet, transfer, or sell.
- **Direct Tax Payment:** Taxes were paid directly to the Company, ranging from **45% to 55%** of estimated production.
- **Non-Permanent Settlement:** The system involved periodic revisions of revenue assessments, which could lead to abrupt changes in tax obligations.
- **Land Utilisation:** While theoretically free to cultivate, land use was often influenced by external pressures.
- **Confiscation Policy:** Non-payment of taxes could result in the confiscation of land.
- **No relaxation or exemption** even during bad harvest or natural calamity.
[UPSC 2024]

Challenges and Coercion

- **Arbitrary Taxation:** Peasants faced arbitrary fines based on previous payments, creating financial distress.
- **High Tax Burden:** The tax rate of **one-third of gross produce** equated to economic rental, causing widespread poverty among ryots.
- **Coercive Measures:** Tax collection often involved coercion and torture, leading to a cycle of debt to moneylenders.
- **Madras Torture Commission Report (1855):** Documented systemic corruption, bribery, and coercion among officials.

Reforms and Agricultural Prosperity

- **Scientific Surveys (1855):** An extensive survey and reassessment reduced the tax burden on ryots, aiming to improve agricultural conditions.
- **Reformed Settlement (1864):** Set the revenue rate at **50%** of net produce for **30 years**, fostering agricultural prosperity despite famines in **1865-66** and **1876-78**.

Expansion of the Ryotwari System

- **Geographic Spread:** The system expanded into the **Bombay Presidency** after the conquest of the Peshwa's territory in **1818**, with a state demand initially fixed at **55%** based on faulty surveys.
- **Improvements by Wingate and Goldsmith:** Enhanced the system by **1836**, extending it to **Berar**, **East Bengal**, parts of **Assam**, and **Coorg**.

Regional Impact

- **Land Settlements in Madras:** Baramahal district's 50% state demand caused peasant hardship. **Thomas Munro's Reforms** extended the **ryotwari system**, but high demands worsened economic distress. The **Madras famine (1867-78)** exposed system failures, exacerbating peasant suffering.
- **Land Settlements in Bombay:** Ryotwari system eliminated landlords, fostering direct state-ryot relations. **Elphinstone and Chaplin** recommended reforms for better tax collection and recognized village communities' importance. **Wingate's Survey (1835-47)** based revenue assessments on geology, but guesswork led to penalties and unrest. **Agrarian Riots (1875)** led to the **Deccan Agriculturists' Relief Act (1879)**, which failed to resolve excessive state demands.

COLONIAL POLICY ON INDUSTRY

- **Deindustrialization:** British policies aimed to prevent industrialization, maintaining India as an agricultural base for Britain.
- **Infrastructure Development:** However, imperial needs led to the construction of roads, railways, and communication systems, laying the groundwork for modern industry.

Impact of Industrial Revolution on Indian Indigenous Industry

- **Decline of Handicrafts:** Traditional cottage and handicraft industries in India declined under British rule.
- **Textile Competition:** Cheap British textiles flooded Indian markets by the 1830s. Indian textiles faced heavy import duties in Britain. British textiles took over European, American, and African markets.
- **Machine-Made vs. Handcrafted:** Machine-made British textiles were cheaper and of higher quality than Indian products.
- **Economic Dependency:** India became a source of raw materials for Britain. India turned into an economic colony for British manufactured products.
- **Patron Decline:** Loss of support from kings, chieftains, and zamindars weakened the handicraft sector.
- **Industrial Foundations:**
 - **Railways:** First railway line in 1853 (Bombay to Thane).
 - **Cotton Mills:** First cotton mill, **Bombay Spinning and Weaving Company** in 1854 by Cowasjee Nanabhoy Davar. [UPSC 2020]

Growth of Indian Capitalist Enterprise

- **Textile Industry Focus:** The textile sector, especially in Bombay, saw early entrepreneurial activity from Parsis and Gujaratis, facing competition from British imports and hostile colonial policies.

- **Challenges:** The industry faced numerous obstacles:
 - Competition from British textile products.
 - Discriminatory tariffs and policies.
 - Limited access to credit from European-dominated banks.
 - Favourable freight rates for British goods.
 - Dependence on imports for equipment.
- **Resilience:** Despite these challenges, Indian industrialists, spurred by the Swadeshi Movement, adopted cost-reduction strategies and promoted Indian-made goods.
- **Tata Iron and Steel Company:** Founded by Jamshedji Tata in 1907, it marked a significant milestone in Indian industry, producing pig iron and steel in subsequent years.
- **Growth in Other Industries:** By the late 19th century, industries such as jute, coal, and plantations (indigo, tea, coffee) began to expand, although many were still under British control and investment.
- **Impact of the First World War:** The war boosted Indian industries by reducing foreign imports and increasing government demand for supplies. Raw material prices dropped, benefiting manufacturers, while wages stagnated, keeping production costs low. Politically, the war triggered demands for self-sufficiency and local industry protection. The British response included supporting industrial development, with the **Industrial Commission (1916)** exploring opportunities for Indian capital, and the **Indian Munitions Board (1917)** advocating for domestic military production.

Protection During the Interwar Period (1918-1939)

Growing Need for Economic Self-Sufficiency: The interwar period saw increased awareness of the importance of protecting Indian industries from foreign competition.

- **Key Measures Implemented**
 - **Stores Purchase Committee (1919):** Formed to ensure guaranteed minimum orders for government purchases, aimed at supporting local industries and boosting domestic production.
 - **Montagu-Chelmsford Reforms:** Introduced a policy favouring fiscal autonomy for India, reducing interference from the Secretary of State for India in fiscal matters agreed upon by the Government of India and its Legislature.
 - **Fiscal Commission (1921-1923):** Established under Sir Ibrahim Rahimtoola to assess and recommend fiscal protection for nascent industries. Introduced a **Triple Formula** for protection:
 - ◆ Industries must possess natural advantages (raw materials, labour, market).
 - ◆ Industries require protection to develop at an optimal pace.
 - ◆ Industries should be capable of competing globally without protection in the future.

- **Establishment of a Tariff Board:** Recommended by the Fiscal Commission to evaluate applications for fiscal protection, playing a crucial role in determining which industries would be safeguarded.

Protection for Various Industries

- The Government of India also adopted the **Imperial Preferences system** from the Ottawa Imperial Conference (1932), which involved concessional tariffs among British Empire members.
However, it was not renewed in 1936 due to its unfavourable impact on India.
- Despite obstacles such as the **overvalued rupee**, the **Great Depression** of 1929-30, and the Imperial Preference System, Indian industry made significant progress from **1923 to 1939**. These protective measures contributed to the **economic development** of India by fostering domestic industries.

Industrial Development, State Policy, and Indian Capitalist Class (1939-1947)

The period from **1939 to 1947**, marked by the **Second World War**, had profound effects on **industrial development**, **state policy**, and the **Indian capitalist class**.

- **Impact of World War II:** The war caused scarcity for the general population but generated super profits for Indian businessmen due to a halt in industrial imports. Traders increased profits through speculation, hoarding, and black-marketing.
- **Limited New Ventures:** War restrictions hindered the establishment of new industries.
- **Capital Activity:** Existing enterprises expanded, creating **Joint Stock Companies**, banks, and **life insurance companies**.
- **Collaborative Ventures:** Increased partnerships between Indian and foreign capitalists emerged, along with diversification into sectors like **banking** and **speculation**.
- **Government's Tariff Board (1945):** The Tariff Board evaluated industry protection claims with more liberal guidelines. Industries had to demonstrate sound business principles and the potential for independent development to qualify for protection.
- **Strengthening of the Indian Capitalist Class:** The capitalist class gained strength from the nationalist movement, providing financial backing. By independence, it had become a significant socio-economic force, capable of shaping political decisions.



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